



Celsius®: Expanding Horizons in the Gym Industry

Granit Rrafshi - 251113259

MOS 4310

December 9th, 2024

Table of Contents

Note to Grader.....	1
Abstract.....	3
Industry Analysis	4
Market Overview.....	4
Industry Pricing Standards.....	4
Project Summary.....	5
Initial Investment	5
CCA Model.....	6
Estimated Income Statement.....	6
Membership Model of Revenue.....	6
Expense Model.....	7
Operating Cashflows.....	8
Free Cash Flow Analysis.....	9
Celsius Capital Structure & Weighted Average Cost of Capital (WACC Calculation).....	9
Financing.....	10
Key Performance Metrics.....	11
NPV and IRR.....	11
Accounting Returns vs. DCF Model.....	11
Sensitivity Analysis.....	12
Risk Analysis	12
Sensitivity.....	12
Market and Competition Risks.....	12
Operational Risks.....	13
Other Factors.....	13
Recommendation.....	14
Exhibits.....	15
Works Cited.....	24

Abstract

Celsius, is an energy drink company that prioritizes health and wellness in their products and promotions. Their CEO says the “Celsius brand stands for Living Fit, [and has] been enjoyed by millions of consumers who aspire to find and lead their own fit lifestyles.”

The company is currently focusing on 3 main goals: Increasing its financial performance, growing distribution channels, and fueling its brand growth. This report explores an investment proposal for Celsius to establish a single branded premium gym in Toronto. By aligning its fitness philosophy with high-quality facilities, Celsius aims to strengthen their brand and channel growth, while pursuing additional profits. If the proposal is pursued, and deemed successful, there is further conversation into expanding across North America with more locations, however this is not included within the scope of this proposal.

By leveraging its reputation and position as the #3 share position in the energy drink market, the proposal aims to create a synergistic environment where consumers can engage with the brand while pursuing their fitness goals. This initiative will target the growing demand for high-quality gym experiences in urban centers, incorporating 4 revenue streams: Membership fees, Sign up fees, Personal training, and retail and merchandise sales.

Through comprehensive financial modeling and industry analysis, we have determined that the proposed project warrants outsourcing for expert market research. Specifically, we wish to get a comprehensive analysis on the number of memberships that can be expected through this venture. The key performance indicators (KPIs) in our cash flow model are highly sensitive to this variable since it is included in each of our revenue models. For perspective, an increase of 50 memberships would result in the IRR improving by roughly 6% over a 15 year horizon period.

Under these conditions, we have opted to air on the conservative side of our expected memberships. This assumption coincides with a breakeven of 900 memberships. Although this figure was conservatively estimated based on appropriate data, we feel the need to professionally verify our assumption before moving forward with preparations. If the supplemental market research supports our conservative membership assumption, we would suggest pursuing this opportunity, while taking active measures to reduce our risk.

Our financial analysis highlights a carefully structured investment plan, incorporating assumptions based on industry benchmarks, market reports, annual statements, and established comparable companies. While the initial cost and weak first operating year may present challenges, low end projections show modest returns with an estimated internal rate of return of (IRR) 12.58% and an average return on invested capital (ROIC) of 18.04% in subsequent years.

Industry Analysis

Market Overview

The global fitness industry is experiencing robust growth, with the gym and health club sector playing a pivotal role. In 2024, the gym market is estimated to be worth \$88.50 billion (Wellness Creatives, 2024) with a compound annual growth rate (CAGR) of 8.83% (Fortune Business Insights, 2024). This expansion is driven by increasing health consciousness and a surge in demand for fitness services. In North America, approximately 20% of the population holds gym memberships (Fortune Business Insights, 2024). Overall, the North American fitness industry is poised for continued growth driven by evolving consumer preferences and technological advancements.

Industry Pricing Standards

Celsius Gym's pricing strategy is designed to align with customer expectations while capitalizing on a premium positioning. GoodLife Fitness, a key competitor, serves as a benchmark for membership pricing. Their average membership is estimated at \$73.1 per month across its different tiers of offers (Goodlife, 2024). This is based off of the Essential tier at \$66/month, Ultimate tier at \$80/month, and Performance tier at \$110/month. An interview with a Goodlife staff member helped us in performing a weighted average using the estimated number of members in each tier.

Charging a 10% premium over this price, Celsius Gym positions itself as a slightly higher-value alternative, targeting customers who are seeking an exclusive and elevated fitness experience. The \$80 per month membership price ensures competitiveness without creating significant price resistance (*See assumption 1*). Similarly, the \$60 joining fee is consistent with industry standards (Goodlife, 2024) (*See assumption 2*). This strategic alignment with the industry average supports brand positioning and provides a foundation for capturing a share of the fitness market while maintaining sustainable membership acquisition costs.

Celsius would charge \$70/hour for personal training, which lies in between the industry average of \$50-\$150/hr (PersonalTrainingPrices Canada, 2024) (*See assumption 3*). Increased demand makes prices for these services higher in urban cities like Toronto. However, this hourly rate is often sold in bulk at a discount. Assuming a \$70/hour price on personal training balances these additional factors.

Project Summary

Initial Investment

Our initial investment calculation reflects a carefully constructed breakdown of costs necessary to establish a premium fitness facility while aligning with industry standards. The building renovation component, estimated at \$225,000 accounts for extensive updates to locker rooms, bathrooms, and office spaces, ensuring a high-quality aesthetic and functionality (*Assumption 5*). This figure is based on an average renovation cost of \$150 per square foot, a midpoint between multiple industry sources, and assumes renovations will be required for 25% of the building's 6,000 square feet. By exercising patience and waiting for the ideal building to lease, this cost could be drastically reduced, improving the proposed investment's KPIs.

For gym equipment, we allocated \$125,000, reflecting the premium price tag on the high-quality, customized gym equipment necessary to grow the Celsius' brand (*Assumption 6*). This cost figure is on the high end of industry standards because it includes custom branding on equipment. The expected life of gym equipment falls between 5-12 years depending on the specific piece of equipment, and its usage (Planet Fitness, 2023) . For the sake of simplicity we assume all equipment would need to be replaced every five years, since the highest cost equipment such as cable machines, treadmills, and bikes, have a smaller expected life.

The office and other costs are estimated at \$5,000 to cover essential administrative and operational items, such as computers, routers, printers, office furniture, zoning certificates, and business registration (PDQ, 2024) (*Assumption 7*).

The required Net Operating Working Capital (NOWC) injection was estimated at \$333,092. This assumption was made to cover the first 13 months of projected operating losses and provide extra liquidity in the form of the next month's total operating expenses. We recognize a large portion of this capital will be sitting idle in cash accounts, however we chose to avoid factoring in the potential gains on treasury management because it introduces needless complexity and questionable assumptions (*Assumption 8*).

See Exhibit 7 - Initial Cost Breakdown

Estimated Income Statement

Membership Model of Revenue

All revenue figures are directly correlated to how many members we are expected to have at each given point in time, or the change in memberships across those times. Even retail sales

are related to our membership count as they are projected to be 6% of total revenue (*Assumption 14*), and every other revenue stream directly cites our memberships.

It is unfair to assume we immediately start operations with plenty of memberships. To account for the time it takes to accumulate members, we projected memberships to grow following a logarithmic growth curve. This is logical because we expect the membership growth rate to be very high in the early months and slow as time passes. The average number of members per gym in Canada is 973.59 members (Made In CA). We assumed that through initial marketing efforts, leveraging the Celsius brand on social media, we could feasibly start with 100 members in the first operating month. It is also assumed that it will take 24 months to accumulate to a conservative 900 members when fully operational (*Assumptions 9-11*). A major assumption was that memberships would remain fixed at this “steady state” for the remainder of the life of the investment. This assumption was made in tandem with our budgeted marketing expense which was projected using a cost per acquisition model that incorporates gym membership turnover statistics. Using these numbers, we found the monthly marketing expense that would offset the number of membership cancellations. This was then recounted in joining fee revenue. This assumption would keep memberships constant over the remaining life of the investment, which is quite a big assumption because without revenue growth, the investment’s projected profit margin declines in the later years. We chose this because we could not find reliable information on how the property size would limit the membership capacity, and how this would affect the relationship on the ongoing membership growth rate. This assumption is biased in favor of understating the profitability of the investment plan.

See Exhibit 4 - Memberships Over Time

Revenue streams include membership fees set at \$80 per month with an initial joining fee of \$60 per member, personal training sessions priced at \$70 each, and retail sales, which are assumed to make up 6% of total revenue (*Assumptions 1, 2, 3, 12, 14, 15*). Retail costs of goods sold (COGS) were calculated at 50% of associated retail revenue (*Assumption 13*). Whereas COGS for personal training sessions was estimated using premium personal trainer wages and the same usage assumptions used in revenue projections (*Assumption 16*). Membership fees and personal training are projected to be the largest revenue streams, with retail revenue and joining fees representing a smaller share.

See Exhibit 1 - Contribution to Net Revenue after COGS Deductions

Expense Assumptions

The projected expenses were derived from industry research and comparable benchmarks. We limited our use of annual statements from publicly listed gyms such as Planet

Fitness because their business model is drastically different to our proposal. While they earn revenues from franchise fees and the sale of equipment, our projected business model is one step lower down the value chain, focusing on operating the gym itself. This means that their expense allocation figures are *not* good proxies for our projections. A consequence of predicting our expenditures the way we did was that they are not modeled to grow alongside revenues. This was another reason for choosing to cap memberships at a “steady state” figure.

See Exhibit 2 - Expense Breakdown

Rent and utility figures were determined on a price per square foot basis using 2024 TRREB data and the square footage requirements of this type of gym. Rent was adjusted to account for a parking lot, which followed the same estimating methodology. Wages and salaries were projected using industry averages and expected hours (wages only). Depreciation on long lived assets was calculated using CCA tables with their respective class rates and salvage values. As per CCA rules, the leasehold improvements were depreciated to 0 in a straight line over the course of the lease rather than using CCA rates. Insurance used a researched fixed cost assumption. Marketing followed a cost per acquisition model that kept “steady state” members fixed over the life of the investment. It was inflated by a factor of 2x for the first 6 months of operations and 1.5x for the next 12 months to assist in driving membership growth. Finally equipment maintenance and other expenses were forecasted as a percentage of total expenses following industry standards. (*Assumptions 17-26*)

See Exhibit 3 - CCA Model

Net income was calculated using the US Statutory corporate tax rate of 21% (*Assumption 27*). We did not use Celsius’s effective tax rate because it was too volatile; it ranged from -122% to 22.2% over a 3 year period (Celsius, 2024). We did not model the advantages of pushing forward operating losses since we felt that it was too uncertain since it involved making assumptions on our previous assumptions, nonetheless we are aware of this benefit.

We prepared 2 separate income statements. One follows monthly projections that model the high growth phase projected for the first two years. The other is the annual income statement over the course of the 15 year horizon period, and shows consolidated information from the first statement. The monthly statement allowed us to more accurately understand our initial NOWC requirements and analyze the accounting returns.

See Exhibit 5 - Rapid Growth Income Statement

See Exhibit 6 - 15 Year Projected Income Statement

See Exhibit 12 - Yearly Profit Margin Assuming Breakeven Memberships

Successful gyms operate an average profit margin between 10-25% (Supliful). Our projected profit margins start strong but taper off due to our capped revenue assumptions. If we can maintain the profit margins displayed in years 3-6, this business proposal appears quite successful relative to competitors. It is important to reiterate that we made other conservative revenue assumptions, so we are likely seeing the lower end of the potential profit margin variance.

The average yearly Return on Invested Capital (ROIC) of the 15-year proposed investment plan is 13.98% and 18.036% if we do not include the first 2 ramp up years in our assumptions. If we wish to project past the terminal value of 15 years, this second ROIC is more appropriate. The second ROIC is above the hurdle rate set by the CAPM on common stock (14.75%), which represents a good investment opportunity. Overall, the projected financials do not show outstanding accounting return KPIs, but they are healthy enough to consider the proposal.

See Exhibit 13 - ROIC Curve

Operating Cash Flows

We solved for the yearly operating cash flows using the projected income statements, our corporate tax rate of 21%, and adding back non-cash expenses. These figures are shown in our Free Cash Flow (FCF) analysis to assess the project's feasibility from 2024 to 2039. We do not expect the gym industry to disappear or have any major disruptions that would warrant scrapping the project within the next 15 years, in fact we would expect the net FCF to remain positive year over year. Our model does however assume that the project is set to terminate in FYE 2039. This will result in biased discounted cash flow KPIs since the terminal value of the project would be understated. This bias might lead us to falsely reject a good opportunity. We could consider the terminal value at year 15 equal to the present value of the future expected FCFs, however, this method of valuation is dubious since we cannot accurately forecast our operating cash flows after 15 years, nor can we expect them to remain perfectly constant over time.

Taking a conservative approach, expecting operating cash flows to remain 75% of the 13 year average (fully operational time) in perpetuity, we can expect the IRR to increase roughly 2.5% and the NPV to increase by roughly \$160,000 which is 23% of the initial invested capital. While this figure is highly unreliable, it does provide context of the benefits beyond the 15 year investment horizon.

See Exhibit 8 - Discounted Cash Flow Model

Free Cash Flow Analysis

In 2024, due to the absence of operating cash flows during the initial setup phase, the project had negative FCFs. Operating losses in 2025 continued the negative FCFs, with 2026 being the first positive FCF period. This improvement is driven by having a full operating year at a “steady state” membership level, marking the transition to a sustainable and profitable phase.

As is expected in an investment proposal, capital expenditure activities are concentrated in year 0, with minimal additional investments needed in subsequent years. Operating cash flows slowly decline after reaching “steady state”, which causes the sharp increase in FCFs before stabilizing around \$150,000. The project’s cumulative cash flows turned positive in year 6, and by 2039, they reach \$1,354,326, demonstrating the project’s ability to generate long sustained cash flows over time.

See Exhibit 9 - Free Cash Flows Over Time

Capital Structure and Weighted Average Cost of Capital (WACC)

The Weighted Average Cost of Capital (WACC) for Celsius has been calculated using publicly available financial data to reflect Celsius’s capital structure and risk profile. Based on Yahoo Finance data as of Dec 2, 2024, Celsius’s market capitalization is \$6.42 billion. The 2023 annual report values 1.5 Million Series A convertible preferred shares, which were issued to Pepsi in 2022. The footnotes include the fair market value of \$567.61 per share on issuance, which was used instead of the book value in our WACC calculations, bringing the total market value to \$851.4 million. These shares pay a cumulative dividend of 5%.

Celsius has an extremely low usage of debt. Their total debt was reported at \$2.19 million in 2023, which represents 0.03% of their capital structure. This debt appears to be non-interest bearing since Celsius didn’t report an interest expense, however we cannot assume that future debt issuances would follow suit, so we estimated the cost of debt at 5% given that they have very little default risk (evidenced by their low debt levels and strong cash flow position). They have a 5-year beta of 1.85. Finally, we chose the 10-year US treasury rate as a proxy for the market risk-free rate, which was 4.41% as of November 2024. And the market risk premium was estimated at 10% as it is the historic average.

Rather than using a standard WACC as the discount factor in our discounted cash flows, we chose to make 2 adjustments. The first adjustment was to calculate the WACC on a fully diluted basis. This means we assume the cost of the **convertible** preferred shares is the same as the common shares. This change was made because it is only logical for preferred shareholders to eventually convert their stock since the returns on common stock are higher than the preferred

stock (not a 1 to 1 conversion). Shareholders may be willing to trade a better return for the favourable liquidation preference of preferred shares, but seeing as Celsius has an inconsequential debt level and healthy cash flows, this would be unwise. So we have chosen to value these shares at the same CAPM cost of common stock (14.748%). The second adjustment we made was an inflation adjustment to the WACC (*Assumption 28*). This was preferable to complicating our CAPEX and operating cash flow assumptions year over year.

Analysis on Celsius's capital structure leads us to believe that they are not at their optimal WACC minimizing capital structure. We believe they could shift their structure by taking on more debt which would lower their WACC. This may be disallowed by their mezzanine financing agreement, however in the long run, they should seek to earn higher returns through debt financing.

See Exhibit 10 - Celsius Capital Structure

Financing

The initial capital investment is \$688,093. If the investment is pursued, this could be financed a few different ways: Issuing debt or common stock, using internal financing, or a combination approach. Each of these financing methods have different implications on the valuation of the venture, WACC, and capital structure. In our DCF model we **assumed 100% internal financing**. We chose this method because they have a strong cash position that can easily absorb the cash outflow. Since issuing stock is subject to flotation costs, it makes little sense when you have access to strong retained earnings. Finally, it fits their capital structure so we can use the calculated WACC as our discount rate.

In practice we would recommend Celsius finance this project solely with debt since the cost of capital would be much lower and it wouldn't affect their capital structure in the slightest. However, we recognize that this line of thought has no effect on the decision to pursue the investment or not since the opportunity cost project would also be valued using a lower cost of debt.

Key Performance Metrics (KPI)

NPV and IRR

The calculated **Net Present Value (NPV)** of \$4,486.75 and **Internal Rate of Return (IRR)** of 12.55% suggest that the project is teetering on the edge of financial viability. The IRR

barely exceeds the inflation-adjusted WACC (12.49%), indicating the investment's returns are above the required cost of capital.

We believe that IRR is a better evaluating tool than NPV because NPV utilizes WACC in its calculations. We have concluded that Celcius is not at an optimal capital structure and could reduce their WACC by taking on debt. This means that the WACC is overstated and that NPV is biased towards saying no to a proposed investment. We should therefore focus on the IRR and how it compares to the opportunity costs of pursuing this investment.

Our operating assumptions were consistently estimated conservatively, with the capped memberships being a big assumption. This leads us to believe that the project forecasted IRR of 12.49% is likely the lower bound of our IRR variance, and the proposal is worthy of being entertained.

We should also consider that this DCF model assumes termination in 15 years. As mentioned above, the FCFs are projected to remain positive year over year and we have no reason to doubt that this will change after year 15. This will put upward pressure on our KPIs for every year we continue to operate the gym.

For these reasons, we believe that although IRR is riding near the WACC cost of capital, the proposed investment appears healthy and barring concerns about sensitivity and risk, we should accept this project.

Accounting Returns vs. DCF Model

The DCF model incorporates long-term free cash flows and accounts for the time value of money. However it is criticized for its reliance on strong cash flow assumptions and sensitivity to changes in the discount rate. In contrast, accounting profitability ratios and returns such as ROIC focus on the yearly profitability metrics without considering cash flow timing.

Our investment plan utilizes a WACC that we believe to be overstated. We also had difficulty forecasting long term revenues and assumed they were capped. The investment could also outlive the horizon period. For these reasons we believe that analyzing accounting returns such as the ROIC, profit margin, and profit growth rate could help reduce some of the inherent flaws in our DCF model.

Sensitivity Analysis

It is abundantly clear that the “steady state” membership count is a very sensitive parameter in our model. The data reveals a clear positive correlation between the number of

memberships and the KPIs. A change of 50 memberships correlates to roughly a 4.1% change in the average profit margin, and a 6% change in IRR. This effect is exaggerated when looking at the effects on ROIC. Although we took a conservative estimate to our “steady state” memberships, this degree of sensitivity represents significant risk to making a faulty assumption. If we make a less conservative assumption on memberships and assume the industry average, the project's KPIs look very different.

There are other sensitive parameters at play such as the percentage of gym members that purchase personal training, the initial costs of leasehold improvements, rental price per square foot, and employee wages. However, the net effects pale in comparison to the assumed amount of fully operational memberships.

See Exhibits 14.1 to 14.5

Risk Analysis

Sensitivity

The sensitivity of our model to changes in memberships represents significant risk. We should mitigate this risk by hiring a third party expert opinion on the memberships we can expect to get. If this opinion can prevent us from accepting this investment decision when the demand is not there, it will save the company significant costs. Additionally, if the expert comes back saying we underestimated the memberships, there is significant upside potential.

Market and Competition Risks

The fitness industry has intense competition, particularly in urban markets such as Toronto. Celsius Gym wants to position itself as a premium offering with a slightly higher price than GoodLife, so the risk of price sensitivity among customers exists. Economic downturns and shifts in consumer spending have the potential to decrease the demand for gym memberships, particularly in the premium segment. If price sensitivity causes lower demand or lower retention rates, it could drastically affect the investment's profitability because it affects the number of memberships which is a highly sensitive parameter. Additionally, the rise of digital fitness solutions poses a competitive threat, with over 30% of individuals using mobile fitness apps (Mobius MD, 2021). If we pursue this investment, Celsius Gym should consider integrating digital features to stay relevant in the evolving fitness market.

Furthermore, the project is exposed to macroeconomic factors such as inflation. While the financial model is adjusted to account for a 2% inflation rate, unexpected inflationary pressures could increase all of our CAPEX assumptions.

To address financial risks, Celsius Gym should maintain a liquidity buffer to manage early-stage cash flow deficits and unforeseen expenses. There is also merit in diversifying revenue streams beyond memberships and personal training, such as introducing exclusive fitness events. Also, regular financial reviews will help monitor performance against projections and identify areas for cost optimization. Lastly, adjusting pricing strategies based on market dynamics can maximize revenue without alienating the target demographic.

Operational Risks

The transition from making energy drinks to operating a commercial gym requires completely different skill sets. Staffing challenges, including hiring and retaining skilled trainers and management staff, could disrupt operations, and affect customer experience and retention. With Celsius's premium service positioning, any compromise in service quality due to operational lapses could deter members and damage the brand reputation. This risk is mitigated through spending a premium on the human capital needed to run such an organization, which we have accounted for in our projections.

Other Factors

Beyond financial, operational, and market risks, several other factors must be accounted for to ensure the success of the Celsius Gym Project. Firstly, demographic alignment and market demand are critical; Celsius Gym's success heavily relies on its ability to attract and retain a consistent member base, thus understanding the target demographic's preferences, income levels, and fitness habits is essential.

Second, location suitability is equally vital, as accessibility approximately to residential or corporate hubs, and parking availability can significantly influence a gym's success.

Third, the effects of seasonal revenue and market fluctuations must also be considered. Fitness memberships often peak in the first quarter of the year, driven by New Year's resolutions, and decline during summer months. Revenue projections should account for these fluctuations to ensure realistic cash flow estimates.

Lastly, brand integration and marketing strategy are pivotal. As the Celsius Gym serves as an extension of the Celsius energy drink brand, consistency in brand messaging and values is crucial. Investments in community-building activities, such as hosting events, challenges, or partnerships with local businesses, can deepen engagement and loyalty among gym members while promoting Celsius products. A robust marketing plan that leverages digital, social media, and traditional advertising can maximize awareness and reach within the target demographic.

Recommendation

We recommend **pursuing the Celsius Gym Project**, contingent on verifying membership assumptions with a third-party market research expert. If membership exceeds 900 in the first few years, we are confident the investment will deliver strong returns and cash flows. We also advise comparing this proposal to other capital uses to account for opportunity costs.

WHY?

The model remains profitable even with conservative assumptions. We projected a fixed number of “steady state” memberships, which capped the projected revenue and prevented further growth. Furthermore, we set the “steady state” membership estimate below the industry expected value of 973.6, leaving room for upside potential. The initial leasehold improvement costs could be reduced by waiting for the right lease with a building that is optimally setup.

Additionally, we believe Celsius could improve their capital structure and could lower their cost of capital by taking on more debt, as the WACC is currently dominated by common stock.

Finally, given the sensitivity of membership numbers, there is high potential for profit. By conducting market research prior to committing the initial capital expenses, Celsius can mitigate their downside risk while preserving the upside benefits.

Exhibits

Assumptions Exhibit

Exhibit 1 - Contribution to Total Revenue after COGS Deductions

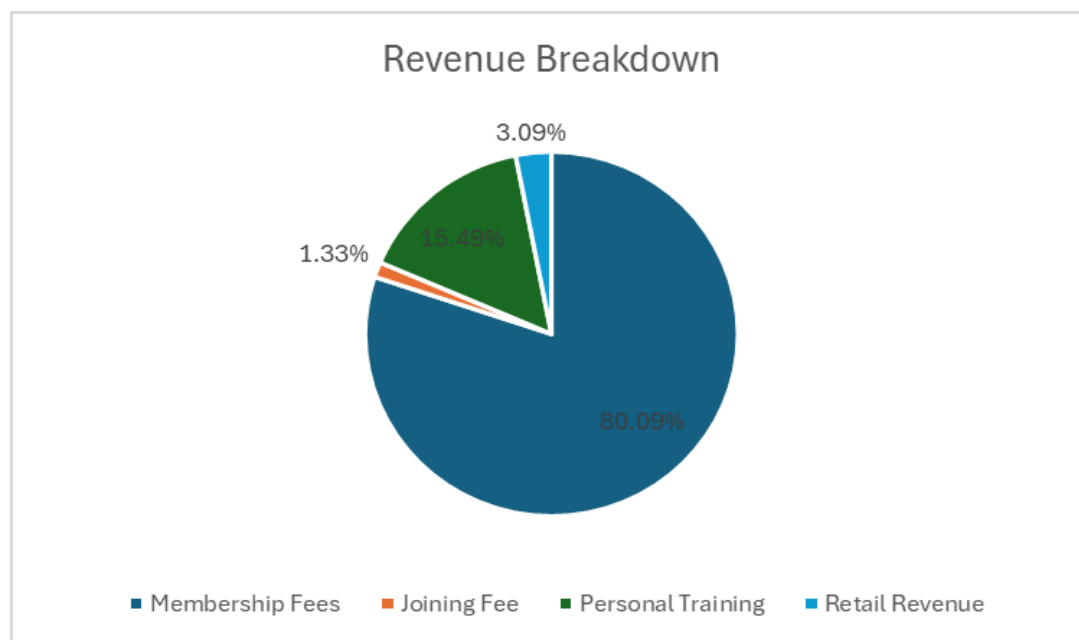


Exhibit 2 - Expense Breakdown (As Percent of Total Expenses)

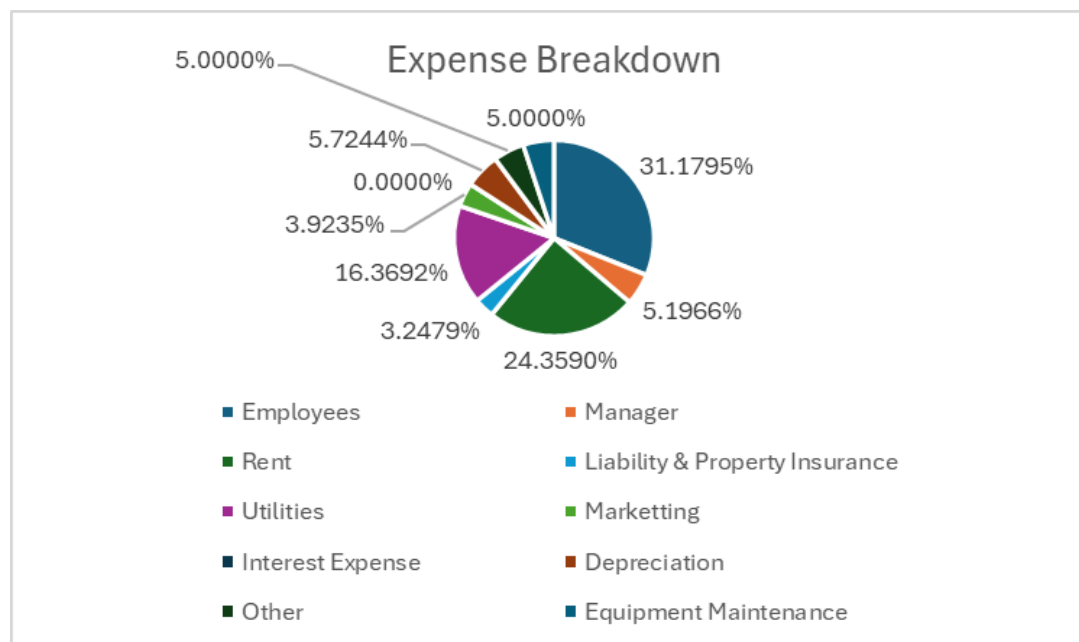


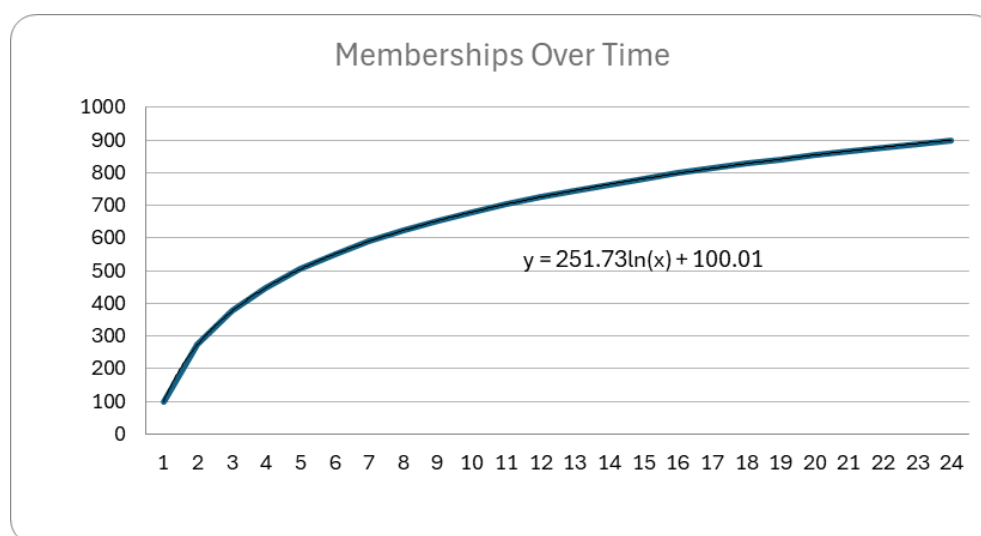
Exhibit 3 - CCA Model

Capital Cost Allowance for Equipment				
Year	Undepreciated capital cost	Capital cost allowance	Tax Shield	
0	\$ 168,750.00	\$ 33,750.00	\$ 7,087.50	
1	\$ 78,750.00	\$ 15,750.00	\$ 3,307.50	
2	\$ 63,000.00	\$ 12,600.00	\$ 2,646.00	
3	\$ 50,400.00	\$ 10,080.00	\$ 2,116.80	
4	\$ 40,320.00	\$ 8,064.00	\$ 1,693.44	
5	\$ 32,256.00	\$ 32,256.00	\$ 6,773.76	
5			\$ 23,625.00	
Capital Cost Allowance for Office Supplies / Other				
Year	Undepreciated capital cost	Capital cost allowance	Tax Shield	
0	\$ 7,500.00	\$ 4,125.00	\$ 866.25	
1	\$ 875.00	\$ 481.25	\$ 101.06	
2	\$ 393.75	\$ 216.56	\$ 45.48	
3	\$ 177.19	\$ 97.45	\$ 20.47	
4	\$ 79.73	\$ 43.85	\$ 9.21	
5	\$ 35.88	\$ 35.88	\$ 7.53	
5			\$ 1,050.00	

CCA Rate (Class 8)	20.0%
Purchase Price	\$ 125,000.00
Salvage Value	\$ 12,500.00
Total UCC	\$ 112,500.00
Corporate Tax Rate	21%

CCA Rate (Class 50)	55.0%
Purchase Price	\$ 5,000.00
Salvage Value	\$ -
Total UCC	\$ 5,000.00

Exhibit 4 - Memberships Over Time



Note: Membership Model like the rest of our spreadsheet, was cell referenced, so all sensitivity analysis on changing members had the curve redefined to fit the new parameters. This way the sensitivity is accurate.

Exhibit 5 - Rapid Growth Income Statement

Year 1

	Year 1											
	1-Jan	1-Feb	1-Mar	1-Apr	1-May	1-Jun	1-Jul	1-Aug	1-Sep	1-Oct	1-Nov	1-Dec
Revenue:												
Membership Fees	\$ 8,000.00	\$ 21,920.00	\$ 30,160.00	\$ 35,920.00	\$ 40,400.00	\$ 44,080.00	\$ 47,200.00	\$ 49,840.00	\$ 52,240.00	\$ 54,400.00	\$ 56,320.00	\$ 58,080.00
Joining Fee	\$ 6,000.00	\$ 10,440.00	\$ 6,180.00	\$ 4,320.00	\$ 3,360.00	\$ 2,760.00	\$ 2,340.00	\$ 1,980.00	\$ 1,800.00	\$ 1,620.00	\$ 1,440.00	\$ 1,320.00
Personal Training	\$ 3,360.00	\$ 9,206.40	\$ 12,667.20	\$ 15,086.40	\$ 16,968.00	\$ 18,513.60	\$ 19,824.00	\$ 20,932.80	\$ 21,940.80	\$ 22,848.00	\$ 23,654.40	\$ 24,393.60
<i>Less COGS Personal Training</i>	-\$ 1,728.00	-\$ 4,734.72	-\$ 6,514.56	-\$ 7,758.72	-\$ 8,726.40	-\$ 9,521.28	-\$ 10,195.20	-\$ 10,765.44	-\$ 11,283.84	-\$ 11,750.40	-\$ 12,165.12	-\$ 12,545.28
Retail Revenue	\$ 997.79	\$ 2,350.96	\$ 2,712.30	\$ 3,036.23	\$ 3,319.25	\$ 3,563.77	\$ 3,776.73	\$ 3,956.64	\$ 4,129.59	\$ 4,284.10	\$ 4,420.17	\$ 4,547.77
<i>Less COGS Retail</i>	-\$ 498.89	-\$ 1,175.48	-\$ 1,356.15	-\$ 1,518.12	-\$ 1,659.63	-\$ 1,781.88	-\$ 1,888.37	-\$ 1,978.32	-\$ 2,064.80	-\$ 2,142.05	-\$ 2,210.08	-\$ 2,273.88
Total Revenue	\$ 16,130.89	\$ 38,007.16	\$ 43,848.79	\$ 49,085.80	\$ 53,661.23	\$ 57,614.20	\$ 61,057.17	\$ 63,965.68	\$ 66,761.76	\$ 69,259.65	\$ 71,459.36	\$ 73,522.20
Expenses:												
<i>Wages and Salaries</i>												
Employees	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00
Manager	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00
Rent	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00
Liability & Property Insurance	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00
Utilities	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00
Marketing	\$ 3,451.50	\$ 3,451.50	\$ 3,451.50	\$ 3,451.50	\$ 3,451.50	\$ 3,451.50	\$ 2,588.63	\$ 2,588.63	\$ 2,588.63	\$ 2,588.63	\$ 2,588.63	\$ 2,588.63
Interest on LTD												
Depreciation	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25	\$ 4,406.25
Other	\$ 3,872.65	\$ 3,872.65	\$ 3,872.65	\$ 3,872.65	\$ 3,872.65	\$ 3,872.65	\$ 3,824.72	\$ 3,824.72	\$ 3,824.72	\$ 3,824.72	\$ 3,824.72	\$ 3,824.72
Equipment Maintenance	\$ 3,872.65	\$ 3,872.65	\$ 3,872.65	\$ 3,872.65	\$ 3,872.65	\$ 3,872.65	\$ 3,824.72	\$ 3,824.72	\$ 3,824.72	\$ 3,824.72	\$ 3,824.72	\$ 3,824.72
Total Expenses	\$ 77,453.06	\$ 77,453.06	\$ 77,453.06	\$ 77,453.06	\$ 77,453.06	\$ 77,453.06	\$ 76,494.31	\$ 76,494.31	\$ 76,494.31	\$ 76,494.31	\$ 76,494.31	\$ 76,494.31
Net Taxable Income	-\$ 61,322.16	-\$ 39,445.90	-\$ 33,604.27	-\$ 28,367.26	-\$ 23,791.83	-\$ 19,838.85	-\$ 15,437.14	-\$ 12,528.63	-\$ 9,732.55	-\$ 7,234.65	-\$ 5,034.94	-\$ 2,972.10
<i>Less Income Tax (21%)</i>	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net Income	-\$ 61,322.16	-\$ 39,445.90	-\$ 33,604.27	-\$ 28,367.26	-\$ 23,791.83	-\$ 19,838.85	-\$ 15,437.14	-\$ 12,528.63	-\$ 9,732.55	-\$ 7,234.65	-\$ 5,034.94	-\$ 2,972.10

Year 2

	Year 2											
	1-Jan	1-Feb	1-Mar	1-Apr	1-May	1-Jun	1-Jul	1-Aug	1-Sep	1-Oct	1-Nov	1-Dec
Revenue:												
Membership Fees	\$ 59,680.00	\$ 61,120.00	\$ 62,560.00	\$ 63,840.00	\$ 65,040.00	\$ 66,240.00	\$ 67,280.00	\$ 68,320.00	\$ 69,280.00	\$ 70,240.00	\$ 71,120.00	\$ 72,000.00
Joining Fee	\$ 1,200.00	\$ 1,080.00	\$ 1,080.00	\$ 960.00	\$ 900.00	\$ 900.00	\$ 780.00	\$ 780.00	\$ 720.00	\$ 720.00	\$ 660.00	\$ 660.00
Personal Training	\$ 25,065.60	\$ 25,670.40	\$ 26,275.20	\$ 26,812.80	\$ 27,316.80	\$ 27,820.80	\$ 28,257.60	\$ 28,694.40	\$ 29,097.60	\$ 29,500.80	\$ 29,870.40	\$ 30,240.00
<i>Less COGS Personal Training</i>	-\$ 12,890.88	-\$ 13,201.92	-\$ 13,512.96	-\$ 13,789.44	-\$ 14,048.64	-\$ 14,307.84	-\$ 14,532.48	-\$ 14,757.12	-\$ 14,964.48	-\$ 15,171.84	-\$ 15,361.92	-\$ 15,552.00
Retail Revenue	\$ 4,663.07	\$ 4,766.07	\$ 4,876.74	\$ 4,967.45	\$ 5,055.84	\$ 5,148.06	\$ 5,220.33	\$ 5,300.25	\$ 5,370.20	\$ 5,443.98	\$ 5,507.78	\$ 5,575.40
<i>Less COGS Retail</i>	-\$ 2,331.53	-\$ 2,383.04	-\$ 2,438.37	-\$ 2,483.72	-\$ 2,527.92	-\$ 2,574.03	-\$ 2,610.16	-\$ 2,650.13	-\$ 2,685.10	-\$ 2,721.99	-\$ 2,753.89	-\$ 2,787.70
Total Revenue	\$ 75,386.25	\$ 77,051.52	\$ 78,840.61	\$ 80,307.08	\$ 81,736.08	\$ 83,226.99	\$ 84,395.28	\$ 85,687.41	\$ 86,818.22	\$ 88,010.95	\$ 89,042.37	\$ 90,135.70
Expenses:												
<i>Wages and Salaries</i>												
Employees	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00	\$ 24,000.00
Manager	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00	\$ 4,000.00
Rent	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00	\$ 18,750.00
Liability & Property Insurance	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00	\$ 2,500.00
Utilities	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00	\$ 12,600.00
Marketing	\$ 2,588.63	\$ 2,588.63	\$ 2,588.63	\$ 2,588.63	\$ 2,588.63	\$ 2,588.63	\$ 1,725.75	\$ 1,725.75	\$ 1,725.75	\$ 1,725.75	\$ 1,725.75	\$ 1,725.75
Interest on LTD												
Depreciation	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60	\$ 2,602.60
Other	\$ 3,724.51	\$ 3,724.51	\$ 3,724.51	\$ 3,724.51	\$ 3,724.51	\$ 3,724.51	\$ 3,676.58	\$ 3,676.58	\$ 3,676.58	\$ 3,676.58	\$ 3,676.58	\$ 3,676.58
Equipment Maintenance	\$ 3,724.51	\$ 3,724.51	\$ 3,724.51	\$ 3,724.51	\$ 3,724.51	\$ 3,724.51	\$ 3,676.58	\$ 3,676.58	\$ 3,676.58	\$ 3,676.58	\$ 3,676.58	\$ 3,676.58
Total Expenses	\$ 74,490.25	\$ 74,490.25	\$ 74,490.25	\$ 74,490.25	\$ 74,490.25	\$ 74,490.25	\$ 73,531.50	\$ 73,531.50	\$ 73,531.50	\$ 73,531.50	\$ 73,531.50	\$ 73,531.50
Net Taxable Income	\$ 896.00	\$ 2,561.26	\$ 4,350.35	\$ 5,816.83	\$ 7,245.83	\$ 8,736.74	\$ 10,863.78	\$ 12,155.90	\$ 13,286.71	\$ 14,479.44	\$ 15,510.86	\$ 16,604.20
<i>Less Income Tax (21%)</i>	\$ 188.16	\$ 537.87	\$ 913.57	\$ 1,221.53	\$ 1,521.62	\$ 1,834.71	\$ 2,281.39	\$ 2,552.74	\$ 2,790.21	\$ 3,040.68	\$ 3,257.28	\$ 3,486.88
Net Income	\$ 707.84	\$ 2,023.40	\$ 3,436.78	\$ 4,595.30	\$ 5,724.20	\$ 6,902.02	\$ 8,582.39	\$ 9,603.16	\$ 10,496.50	\$ 11,438.76	\$ 12,253.58	\$ 13,117.32

Exhibit 6 - 15 Year Projected Income Statement

Simplified Projected Investment Income Statement															
Investment Time Period	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
Year Ending (August)	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039
Revenue															
Membership Fees	\$ 498,560.00	\$ 796,720.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00	\$ 864,000.00
Joining Fee	\$ 43,560.00	\$ 10,440.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00	\$ 14,400.00
Personal Training	\$ 209,395.20	\$ 334,622.40	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00	\$ 393,120.00
Less COGS Personal Training	-\$ 107,688.96	-\$ 172,091.52	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00	-\$ 202,176.00
Retail Revenue	\$ 41,095.29	\$ 61,895.16	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00	\$ 68,256.00
Less COGS Retail	-\$ 20,547.65	-\$ 30,947.58	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00	-\$ 34,128.00
Total Revenue	\$ 664,373.89	\$ 1,000,638.46	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00	\$ 1,103,472.00
Expenses:															
<i>Wages and Salaries</i>															
Employees	\$ 288,000.00	\$ 293,760.00	\$ 297,840.00	\$ 303,796.80	\$ 309,872.74	\$ 316,070.19	\$ 322,391.59	\$ 328,839.43	\$ 335,416.21	\$ 342,124.54	\$ 348,967.03	\$ 355,946.37	\$ 363,065.30	\$ 370,326.60	\$ 377,733.14
Manager	\$ 48,000.00	\$ 48,960.00	\$ 49,939.20	\$ 50,937.98	\$ 51,956.74	\$ 52,995.88	\$ 54,055.80	\$ 55,136.91	\$ 56,239.65	\$ 57,364.44	\$ 58,511.73	\$ 59,681.97	\$ 60,875.61	\$ 62,093.12	\$ 63,334.98
Rent	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00	\$ 225,000.00
Liability & Property Insurance	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00	\$ 30,000.00
Utilities	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00	\$ 151,200.00
Marketing	\$ 36,240.75	\$ 25,886.25	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00	\$ 20,709.00
Interest Expense	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Depreciation	\$ 52,875.00	\$ 31,231.25	\$ 27,816.56	\$ 25,177.45	\$ 23,107.85	\$ 21,781.29	\$ 20,785.00	\$ 19,916.56	\$ 19,166.56	\$ 18,517.45	\$ 17,967.85	\$ 17,509.85	\$ 17,132.85	\$ 16,835.25	\$ 16,516.56
Other	\$ 46,184.21	\$ 44,406.53	\$ 44,583.60	\$ 44,823.40	\$ 45,102.57	\$ 45,430.91	\$ 45,768.41	\$ 46,106.25	\$ 46,444.19	\$ 46,782.07	\$ 47,119.75	\$ 47,457.25	\$ 47,794.65	\$ 48,131.95	\$ 48,469.25
Equipment Maintenance	\$ 46,184.21	\$ 44,406.53	\$ 44,583.60	\$ 44,823.40	\$ 45,102.57	\$ 45,430.91	\$ 45,768.41	\$ 46,106.25	\$ 46,444.19	\$ 46,782.07	\$ 47,119.75	\$ 47,457.25	\$ 47,794.65	\$ 48,131.95	\$ 48,469.25
Total Expenses	\$ 923,684.17	\$ 888,130.56	\$ 891,671.96	\$ 896,468.04	\$ 902,051.48	\$ 908,618.18	\$ 915,368.21	\$ 922,216.10	\$ 929,162.81	\$ 936,209.93	\$ 943,357.05	\$ 950,504.17	\$ 957,651.29	\$ 964,798.41	\$ 971,945.53
Net Taxable Income	-\$ 259,310.28	\$ 112,507.91	\$ 211,800.04	\$ 207,003.96	\$ 201,420.52	\$ 194,853.82	\$ 187,103.79	\$ 178,255.90	\$ 168,304.19	\$ 157,277.07	\$ 145,509.95	\$ 133,247.83	\$ 120,415.71	\$ 107,083.59	\$ 93,751.47
Less Income Tax (21%)	\$ -	\$ 23,626.66	\$ 44,478.01	\$ 43,470.83	\$ 42,298.31	\$ 40,919.30	\$ 39,441.80	\$ 37,964.29	\$ 36,486.78	\$ 35,009.27	\$ 33,531.76	\$ 32,054.25	\$ 30,576.74	\$ 29,099.23	\$ 27,621.72
Net Income	-\$ 259,310.28	\$ 88,881.25	\$ 167,322.03	\$ 163,533.13	\$ 159,122.21	\$ 153,934.52	\$ 147,661.99	\$ 140,291.61	\$ 131,817.41	\$ 122,267.80	\$ 111,978.68	\$ 101,193.58	\$ 89,839.46	\$ 77,984.36	\$ 66,129.75
Profit Margin	-39.03078%	8.88245%	15.16323%	14.81987%	14.42014%	13.95002%	13.47945%	12.90889%	12.33832%	11.76776%	11.19720%	10.62663%	10.05606%	9.48549%	8.91492%

Exhibit 7 - Initial Cost Breakdown

	Cost Figure	Salvage value	CCA Class	CCA Rate	Useful Life
Building Renovations	\$ 225,000.00	No	13	Straight Line Over Lease Term	N/A
Gym Equipment	\$ 125,000.00	10%	8		20% 5 Years
Other	\$ 5,000.00	No	50		55.00% 5 Years
Net Working Capital Injection	\$ 333,092.70	Yes 100%	N/A		N/A
Total Initial Cost	\$ 688,092.70				

[illegible]

Exhibit 9 - Free Cash Flows Over Time

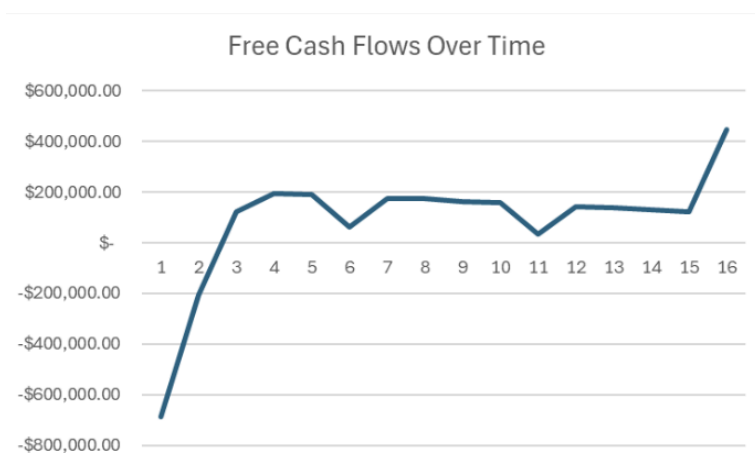


Exhibit 10 - Celsius Capital Structure

	Shares Outstanding	Market Value of Shares	Total Market Value	Weights	Cost of Equity (CAPM)
Common Stock	\$ 231,788,000.00	\$ 27.71	\$ 6,422,845,480.00	88.27%	Beta 1.85
Preferred Stock	1,500,000	\$ 567.61	\$ 851,415,000.00	11.70%	Risk Free Rate 4.41%
Debt	N/A	N/A	\$ 2,187,000.00	0.03%	Expected Market Return 10%
		Total	\$ 7,276,447,480.00	100%	Cost of Common Stock 14.751500%
					Cost of Preferred Stock 5%
		Normal WACC	13.60723%		Cost of Debt 5%
		Convertible Preference Adjusted WACC	14.74825%		Corporate Tax Rate 21%
		Inflation Adjusted WACC	12.50%		Inflation Rate 2%

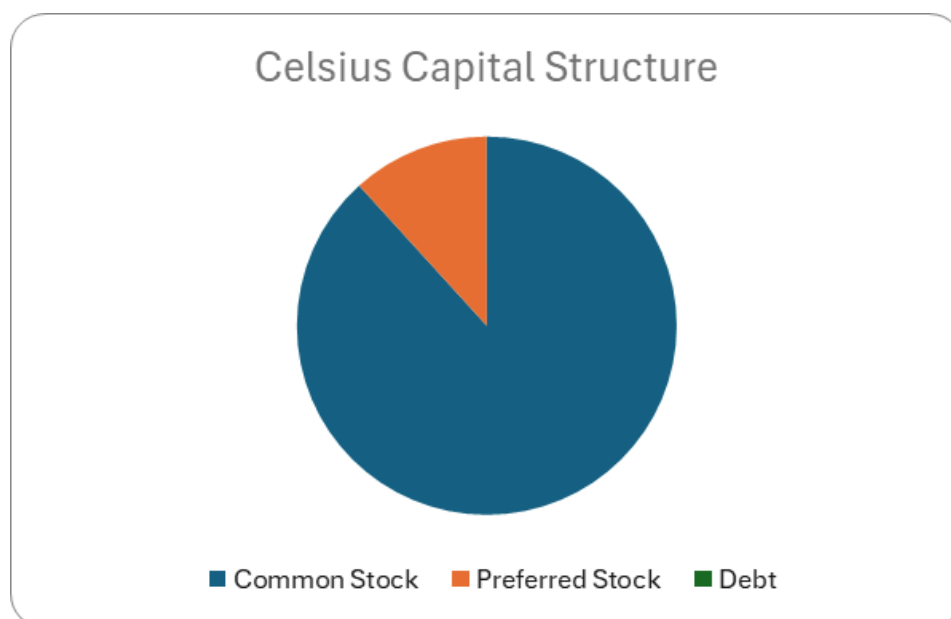


Exhibit 11 - DCF KPI Sensitivity Table

Fully Operational Members	IRR	NPV
700	N/A	-\$ 1,415.03
750	-8.79%	-\$ 1,022.37
800	-0.51%	-\$ 662.21
850	6.18%	-\$ 327.93
900	12.58%	\$ 4.49
950	18.97%	\$ 335.75
1000	25.52%	\$ 666.12
1050	32.37%	\$ 995.85
1100	39.64%	\$ 1,324.46

Exhibit 12 - Yearly Profit Margin Assuming Breakeven Memberships

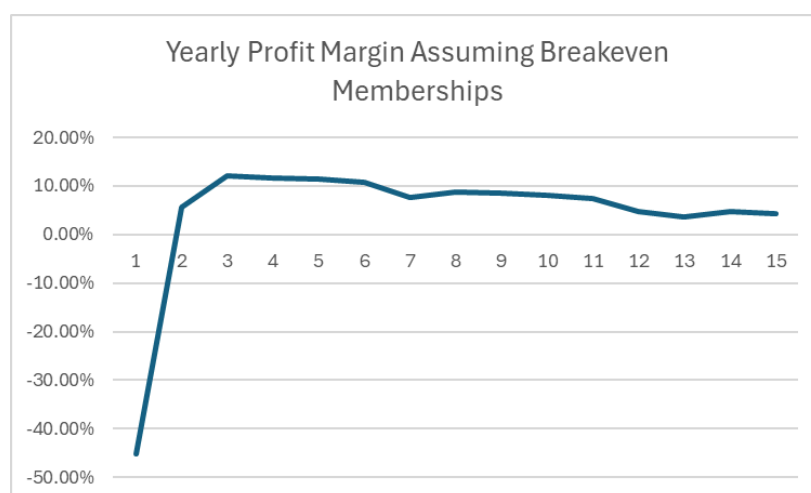


Exhibit 13 - ROIC Curve Over Time

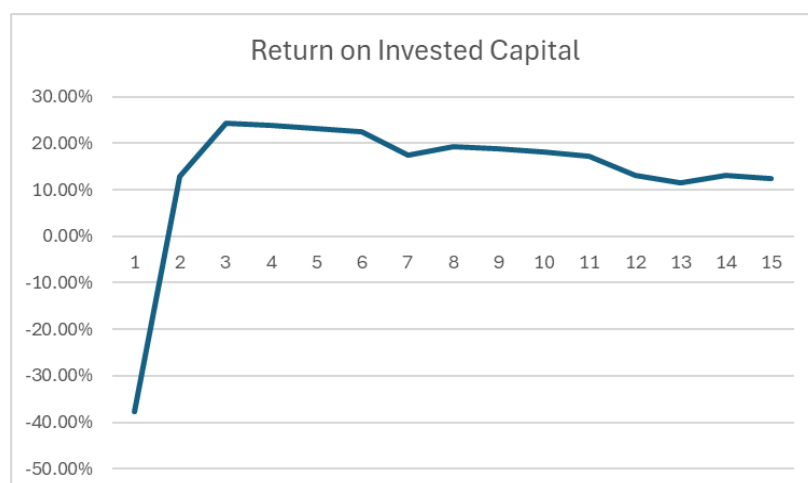


Exhibit 14.1 - NPV on Memberships

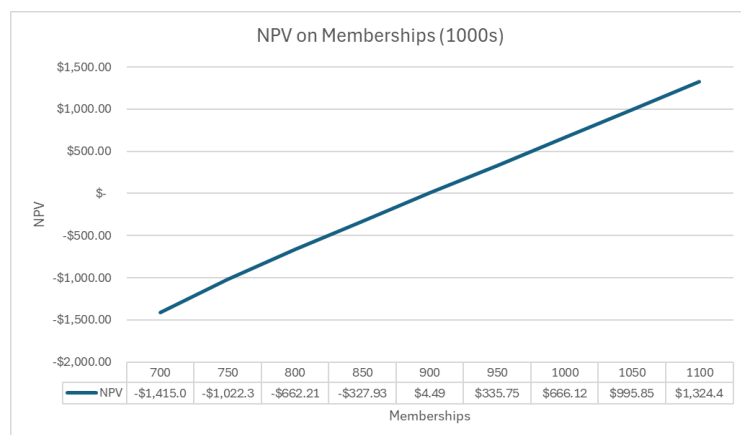


Exhibit 14.2 - IRR on Memberships

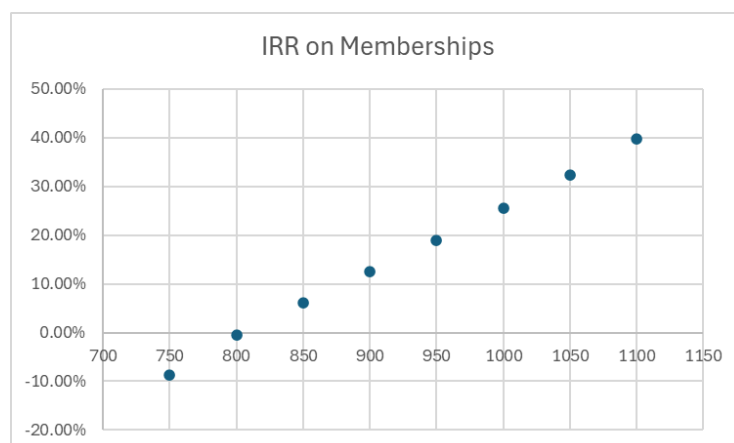


Exhibit 14.3 - Average Profit Margin over 15 Year Horizon

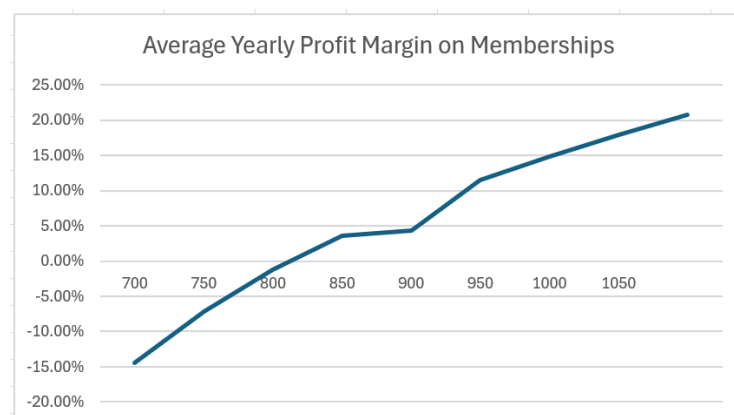


Exhibit 14.4 - KPIs Assuming Industry Average (973.59) Members at Steady State

KPIs Assuming Industry Average Memberships	
NPV	\$ 490,386.34
IRR	22.02%
Average Yearly ROIC	25.96%
Average Yearly Profit Margin	13.11%

Exhibit 14.5 - Membership Sensitivity on Accounting Returns

Profit Margins

15 year Average Return on Invested Capital

Memberships	Average Profit Margin	Memberships	ROIC
700	-14.413117%	700	-12.747945%
750	-7.112335%	750	-6.226465%
800	-1.184930%	800	0.317155%
850	3.563365%	850	6.838131%
900	7.737182%	900	13.979839%
950	11.478063%	950	21.907297%
1000	14.853185%	1000	30.725259%
1050	17.914400%	1050	40.550414%
1100	20.700427%	1100	51.511726%

Works Cited

1. "11 Mobile Health Statistics That Show the Industry's Potential." *Mobius MD*, 25 Oct. 2021, <https://mobius.md/2021/10/25/11-mobile-health-statistics>.
2. "2022 Fitness Trends." *Canfitpro*, 2022, <https://www.canfitpro.com/wp-content/uploads/2022/12/Trends-Report-2022.pdf>.
3. "77 Gym Membership Statistics, Facts, and Trends [2020/2021]." *RunRepeat*, <https://runrepeat.com/gym-membership-statistics#gym-attendance-statistics>.
4. "Average Gym Size: How Big Should a Gym Be? (How Much Space Is Required for a Commercial Gym?)." *WodGuru*, <https://wod.guru/blog/gym-size/>.
5. "Blog - Gym Membership Sales Strategies." *Fit Gym Software*, <https://fitgymsoftware.com/blogs/gym-membership-sales-strategies.html>.
6. "Capital Cost Allowance (CCA) Classes." *Canada.ca*, <https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/corporation-income-tax/capital-cost-allowance/classes.html>.
7. "Canadian Fitness Industry Statistics." *Made in CA*, <https://madeinca.ca/fitness-industry-canada-statistics/>.
8. *Celsius Holdings, Inc. - Financials - Annual Reports*. https://s203.q4cdn.com/427437840/files/doc_financials/2023/ar/0001341766-24-000015.pdf.
9. "Cost to Start a Gym." *StudioGrowth*, <https://studiogrowth.com/cost-to-start-gym/>.
10. "DCF Assumptions Explained: Secrets to Accurate Intrinsic Value." *Wisesheets Blog*, <https://blog.wisesheets.io/dcf-assumptions-explained-secrets-to-accurate-intrinsic-value/>.
11. "Fitness Industry in Canada Poised for Incredible Growth Post-Pandemic." *Retail Insider*, 2021, <https://retail-insider.com/retail-insider/2021/12/fitness-industry-in-canada-poised-for-incredible-growth-post-pandemic-report/>.
12. "Fitness Industry Statistics in Canada for 2024." *Reviewlution*, <https://reviewlution.ca/resources/canadian-fitness-industry-statistics/>.
13. "Form DEF 14A." *Celsius Holdings, Inc.*, https://s203.q4cdn.com/427437840/files/doc_financials/2023/ar/0001193125-24-094699.pdf.
14. "Gym Membership Statistics in 2024" *Exercise.com*, <https://www.exercise.com/grow/gym-membership-statistics/>.
15. "Gym Health & Fitness Clubs Industry in Canada." *IBISWorld*, <https://www.ibisworld.com/canada/market-research-reports/gym-health-fitness-clubs-industry/>.
16. "How Much Does It Cost to Build a Commercial Gym?" *Again Faster*, <https://www.againfaster.com/blogs/tutorial/how-much-does-it-cost-to-build-a-commercial-gym>.
17. "How Much Does It Cost to Build a Commercial Gym Facility?" *Exercise.com*, <https://www.exercise.com/grow/how-much-does-it-cost-to-build-a-commercial-gym-facility/>.
18. "How Much Does It Cost to Build a Commercial Gym/Fitness Studio?" *Project92*, <https://www.project92.ca/blog-post/how-much-does-it-cost-to-build-a-commercial-gym-fitness-studio>.
19. "How Much Does a Personal Trainer Cost in Canada?" *Personal Trainer Prices Canada*, <https://personaltrainerprices.ca/how-much-does-a-personal-trainer-cost-in-canada-a-comprehensive-guide-to-budging-for-fitness/>.
20. "How to Calculate Your Membership Retention Rate." *KeepMe AI*, <https://www.keepme.ai/blog/how-to-calculate-your-membership-retention-rate/>.
21. "How Long Does It Take for a Gym to Become Profitable?" *WodGuru*, <https://wod.guru/blog/how-much-does-it-cost-to-open-a-gym/#:~:text=How%20long%20does%20it%20take,cost%20C%20and%20revenue%20generation%20strategies>.
22. "Membership Types." *GoodLife Fitness*, <https://www.goodlifefitness.com/membership.html#Membershiptypes>.
23. "Salary Insights for Gym Managers." *PayScale*, https://www.payscale.com/research/CA/Job=Gym_Manager/Hourly_Rate.

24. "Salary Insights for Personal Trainers in Canada." *Indeed Canada*, <https://ca.indeed.com/career/personal-trainer/salaries>.
25. "SEC Filings." *Planet Fitness Investor Relations*, <https://investor.planetfitness.com/investors/financial-information/sec-filings/default.aspx>.
26. "Should You Open a Gym?" *Exercise.com*, <https://www.exercise.com/grow/the-cost-of-opening-a-gym/>.
27. "Strategies to Increase Gym Membership and Sales: The Complete Guide." *Fit Gym Software*, <https://fitgymsoftware.com/blogs/gym-membership-sales-strategies.html>.
28. "The Cost of Opening a Gym (Full Breakdown) in 2024." *Exercise.com*, <https://www.exercise.com/grow/the-cost-of-opening-a-gym/>.
29. "Trends in the Fitness Industry." *Wellness Creatives*, <https://www.wellnesscreatives.com/gym-market-statistics/>.
30. "Understanding Gym Expenses." *FinModelsLab*, <https://finmodelslab.com/blogs/operating-costs/workout-gym-operating-costs>.
31. "Valuing Your Gym Business." *TwoBrainBusiness*, <https://twobrainbusiness.com/gym-valuation/>.
32. "WODHopper Gym Retail Sales Guide." *WODHopper*, <https://www.wodhopper.com/post/gymretailsales>.
33. "Workplace Equipment Lifecycle Guide." *PDQ Blog*, <https://www.pdq.com/blog/equipment-lifecycle-management-guide/>.
34. "World Gym Statistics and Trends." *RunRepeat*, <https://runrepeat.com/gym-membership-statistics#gym-attendance-statistics>.
35. "YCharts 10-Year Treasury Rate." *YCharts*, https://ycharts.com/indicators/10_year_treasury_rate.
36. "Your Ultimate Guide to Membership Pricing." *Fortune Business Insights*, <https://www.fortunebusinessinsights.com/health-and-fitness-club-market-108652>.
37. "Everything You Need to Know About..." *Health & Fitness Association*, <https://www.hfassoc.org/knowledge-center/everything-you-need-to-know-about/>.
38. "How Much Does It Cost To Build A Gym?" *YouTube*, uploaded by Russel Orhii, Dec 27, 2020, https://www.youtube.com/watch?v=swA_w7S2E6g&t=4s.
39. Supliful. *Are Gyms Profitable?* Supliful Blog, October 21, 2024, <https://supliful.com/blog/are-gyms-profitable>.
40. Inverge HQ. *What Is the Average Profit Margin on Retail?* Inverge HQ, <https://invergehq.com/what-is-the-average-profit-margin-on-retail/>.
41. International Health, Racquet & Sportsclub Association (IHRSA). *The IHRSA 2020 Global Health & Fitness Report*. IHRSA, 2020.
42. Government of Ontario. *Your Guide to the Employment Standards Act: Minimum Wage*. Government of Ontario, 2024, <https://www.ontario.ca/document/your-guide-employment-standards-act-0/minimum-wage>.
43. Toronto Regional Real Estate Board (TRREB). *Commercial Market Report, Q1 2024*. TRREB, 2024, <https://trreb.ca/wp-content/files/market-stats/commercial-reports/cw24Q1.pdf>.
44. "Ultimate Guide to Customer Acquisition Cost." *WellnessLiving*, <https://www.wellnessliving.com/blog/ultimate-guide-customer-acquisition-cost/>.
45. "Frequently Asked Questions about the Economy." *Federal Reserve*, 9 Dec. 2024, www.federalreserve.gov/faqs/economy_14400.htm